

## Introduction

Retail businesses generate large volumes of transactional data daily. Analyzing this data helps identify profit trends, customer behavior, and inventory performance. This project focuses on evaluating retail business performance to detect profit-draining categories, improve inventory turnover, and understand seasonal product demand.

## Abstract

The project analyzes retail transaction data using SQL, Python, and Tableau to uncover key business insights. SQL is used for data cleaning and profit margin calculations, while Python (Pandas) is used for correlation analysis between inventory turnover and profitability. Tableau is used to build an interactive dashboard for visualization. The results help identify underperforming products, seasonal trends, and opportunities for improving business efficiency and profitability.

## Tools Used

SQL – Data cleaning and querying

Python (Pandas, Seaborn) – Data analysis and visualization

Tableau – Interactive dashboard creation

## Steps Involved in Building the Project

### 1. Data Collection & Import

Imported retail transactional dataset into SQL database.

### 2. Data Cleaning (SQL)

Removed null values and duplicates

Standardized column formats (dates, categories, prices)

### 3. Profitability Analysis (SQL)

Calculated profit margin using:

$\text{Profit Margin} = (\text{Profit} / \text{Sales}) * 100$

Grouped data by category and sub-category

### 4. Correlation Analysis (Python)

Used Pandas to analyze relationship between inventory days and profitability

Identified whether slow-moving inventory affects profit

### 5. Data Visualization (Tableau)

Built dashboard with filters: Region, Product Category, Season

Used bar charts, line graphs, and heatmaps

### 6. Insight Generation

Identified low-profit categories

Detected seasonal demand patterns

Found overstocked and slow-moving items

## Key Insights

Certain product categories generate high sales but low profit margins

Slow-moving inventory negatively impacts profitability

Seasonal trends significantly affect product demand

Some regions perform better due to higher sales efficiency

## Conclusion

This project demonstrates how data analysis can improve retail business performance. By identifying profit-draining categories and inefficient inventory management, businesses can make informed decisions. The use of SQL, Python, and Tableau provides a complete pipeline from data processing to visualization. Future improvements can include predictive analysis for demand forecasting.